

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

PROPOSED FINDINGS OF FACT OF RESPONDENTS
SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.

1) SBA, located in Bensenville, Illinois, operates primarily as an indirect air carrier and surface third-party logistics provider. It was never licensed for, and has never participated in, NVOCC activities or outbound ocean transportation. SBA's wholly-owned subsidiary, SBA Consolidators, operates as a customs brokerage and freight terminal operator. In or about June 2015, non-party Radiant Global Logistics, Inc. acquired SBA, and by extension, SBA Consolidators. SBA still exists as a separate corporate entity wholly owned by Radiant Global Logistics, Inc.¹

2) Respondent LAS Freight Systems, Inc. ("LAS Freight"), a China company, operates as an ocean freight forwarder as provided by China law, which is comparable to an NVOCC under the U.S. system.² It is FMC-licensed as an NVOCC.

3) Complainant CMI Distribution, Inc. ("CMI") is one of several commonly owned and operated companies that operates as an importer of plastic bags and similar products. CMI is sophisticated in transportation, as it imports "50, 60 percent" of the product it sells.³

4) CMI is sophisticated in the transportation process. It has a history of operating with logistic service providers to bring cargo into the United States.⁴

5) CMI's sister company, CMI Transportation, operates as a surface freight forwarder that provides logistics services.⁵

6) In or about early 2014, CMI contacted SBA requesting that SBA arrange importation from China into the U.S. of approximately 80 containers of cargoes consisting primarily of slider plastic bags.⁶

¹ Declaration of Edward A. Zasada ("Zasada Declaration").

² http://www.hktdc.com/sourcing/hk_company_directory.htm?companyid=1X02808S&locale=en.

³ Transcript of Deposition of CMI's FRCP 30(b)(6) Designee Maria T. Vega ("Vega Deposition") at 23-24.

⁴ Vega Deposition at 29.

⁵ *Id.* at 17-19.

⁶ *Id.* at 90.

7) CMI requested from SBA ocean transportation, port-to-door service, and customs clearance.⁷

8) SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued house through bills of lading from China to SBA's facility in Bensenville for the transports at issue for the vast majority of the shipments.⁸ LAS engaged other Chinese NVOCCs⁹ for several of the shipments, and those other Chinese NVOCCs issued through house bills of lading for the shipments they administered.¹⁰ None of these house bills of lading named SBA as a shipper of record.

9) SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued house through bills of lading from China to SBA's facility in Bensenville for the transports at issue for the vast majority of the shipments.¹¹ LAS engaged other Chinese NVOCCs¹² for several of the shipments, and those other Chinese NVOCCs issued through house bills of lading for the shipments they administered.¹³ None of these house bills of lading named SBA as a shipper of record.

10) LAS Freight and the other Chinese NVOCCs did not issue original bills of lading, thereby protecting the Chinese shippers from CMI obtaining the cargo until the shippers authorized issuance of "telex releases." Thus, unless and until CMI paid invoice costs to its Chinese suppliers, LAS Freight and the other Chinese NVOCCs would not issue telex releases,

⁷ *Id.* at 40 and Zasada Declaration.

⁸ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

⁹ These are "U.S. United Logistics (NINGNO) Co.," "Ocean Star Transport Int'l, Ltd.," "Ever Since Group Co., Ltd.," "Acme Freight Services Corp.," "Anchor Logistics," and "Global Links Express, Inc." While LAS Freight is an FMC-licensed NVOCC, these other Chinese transportation service providers apparently are not, and therefore technically are not "NVOCCs," as China does not use that moniker. For ease of reference, they are referred to as "Chinese NVOCCs" herein.

¹⁰ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

¹¹ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

¹² These are "U.S. United Logistics (NINGNO) Co.," "Ocean Star Transport Int'l, Ltd.," "Ever Since Group Co., Ltd.," "Acme Freight Services Corp.," "Anchor Logistics," and "Global Links Express, Inc." While LAS Freight is an FMC-licensed NVOCC, these other Chinese transportation service providers apparently are not, and therefore technically are not "NVOCCs," as China does not use that moniker. For ease of reference, they are referred to as "Chinese NVOCCs" herein.

¹³ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

and transportation service providers down the chain were precluded from releasing the cargo to CMI.¹⁴

11) The ocean transports landed in various west coast ports, and were transported by rail to inland destinations, mostly Chicago. SBA Consolidators processed customs clearance, which is the only role it played in the entire series of transactions at issue.¹⁵

12) SBA engaged motor carrier Freight Tech to dray most of the cargo from the inland rail yards to Freight Tech's yard in Naperville, Illinois, where it would await further delivery instructions. SBA was never in physical possession of the cargo. CMI's China-based suppliers instructed LAS Freight, which in turn instructed SBA, not to release the cargo to CMI unless and until confirmation was received that CMI had paid the suppliers under the commercial invoices for CMI's purchase of the cargo. This would be accomplished by telex releases.¹⁶

13) CMI does not know what an NVOCC is.¹⁷ It does not "know the difference between the services that an NVOCC provides as compared to an ocean freight forwarder."¹⁸

14) CMI does not know whether "SBA agreed to provide CMI NVOCC services," or whether "an ocean freight forwarder could have issued a bill of lading with regard to the shipments at issue in the lawsuit."¹⁹

15) Before beginning its relationship with SBA, CMI researched "SBA's services and its capacities, its history, its licensing."²⁰ It also reviewed SBA's Terms and Conditions,²¹ a copy of which it produced to respondents in discovery.²² Those Terms and Conditions provide that SBA is:

¹⁴ Zasada Declaration.

¹⁵ *Id.*

¹⁶ *Id.*

¹⁷ Vega Deposition at 28 and 51.

¹⁸ *Id.* at 54 and 113-14.

¹⁹ *Id.* at 115.

²⁰ *Id.* at 37.

²¹ *Id.* at 39 and 64.

²² Copy attached as Exhibit 2 to the Declaration of Steven W. Block ("Block Declaration").

... a domestic (U.S.) and international air freight forwarder providing services as an indirect air carrier, including the issuance of house air waybills for individual shipments, assembly, consolidation and arrangement of transportation of goods via direct air carriers, pursuant to exemptions at 49 U.S.C. §§ 13531 and 13506(8). Service By Air, Inc. is also duly registered as a surface freight forwarder with the Federal Motor Carrier Safety Administration under Docket No. FF-005392 to provide ground transportation services via motor carriers selected by Service By Air, Inc.

16) SBA did not issue any bills of lading to CMI for the subject transports.²³

17) CMI produced in discovery four SBA “air waybill” forms, two of which are wholly illegible. With the CMI Brief, CMI produced an additional 45 “air waybill” forms, for a total of 49. Also in discovery, CMI produced house ocean bills of lading issued by Chinese NVOCCs for the subject shipments, each accompanied by CBP Forms 7501 pertinent to each entry.²⁴ The Chinese house bills of lading do not identify SBA as a shipper of record.

18) Thus, CMI claims it has two bills of lading for each shipment: the first, an ocean bill of lading issued by a Chinese NVOCC which properly documents the shipment, and was used for customs clearance; and the second, an unsigned SBA “air waybill” form, denied by CMI’s own employee, Justin M. Jalowiecki, as a functional bill of lading²⁵ and which CMI’s 30(b)(6) Designee confirms CMI requested and used for accounting purposes only.²⁶

19) CMI does not know when it received the documents marked “air waybill.”²⁷ However, “[i]t took [CMI] some time to get them after the transportation was completed...,” i.e., “after the container had been in [its] possession for a while.”²⁸ Regarding the Chinese NVOCC house bills of lading it received for about half of the shipments, CMI “didn’t read most of them

²³ Declaration of Justin M. Jalowiecki (“Jalowiecki Declaration”).

²⁴ Copies attached as Exhibit 3 to the Block Declaration.

²⁵ Jalowiecki Declaration.

²⁶ Citations in paragraph 18 and 19 below.

²⁷ Vega Deposition at 165-66.

²⁸ *Id.* at 196-97.

in detail,”²⁹ and claims it does not know what entity issued them, even though “LAS Freight” appears on most.³⁰

20) CMI requested from SBA “backup” documentation for each shipment, and in response, received the “air waybill” forms by email from SBA employee Bryan Tincher (“Tincher”).³¹ CMI then “[a]ttached them to the invoices or put them in the freight container folder” so as “[t]o confirm the quantity, the weight, the count, the entry, the cost of customs and duties ...”³² Significantly, it did not “use them to receive cargo,”³³ and “did not use any bill of lading for purposes of confirming proper delivery to a transportation service provider.”³⁴

21) Rather, it retained them only for its “internal accounting purposes” and for “backup.”³⁵ CMI made only “internal” use of the documents, i.e. “[j]ust to confirm our purchase order, quantity, amounts.”³⁶ CMI did not “ever use those airway bills as evidence of contracts of carriage and evidence that SBA was acting as an NVOCC in assuming responsibility for transportation at issue.”³⁷ Thus, the “air waybill” forms were not the second of “two sets of invoices to CMI”; rather, they were form documents containing data CMI requested for various accounting purposes in coordination with SBA’s invoicing.

22) Maria Vega, CMI’s 20(b)(6) Designee, “knew all along, there was no air transportation for any of this, despite the word ‘air’ appearing on documents...”³⁸

23) As SBA operates primarily as an indirect air carrier, its operational and accounting software programs are designed to generate air transport documentation. SBA did not “issue” the four documents labeled “air waybill” as functional bills of lading in the

²⁹ *Id.* at 105.

³⁰ *Id.*

³¹ Vega Deposition at 186-87.

³² *Id.* at 109-10.

³³ *Id.* at 110.

³⁴ *Id.* at 110-11.

³⁵ *Id.* at 165-66.

³⁶ *Id.* at 167.

³⁷ *Id.* at 170.

³⁸ *Id.* at 195.

transportation process. With the passage of time, Radiant Global Logistics' acquisition of SBA, attrition of personnel, and change of computer systems, why SBA generated and sent CMI those documents is unclear. SBA surmises that one of its accounting clerks sent CMI the documents in response to a request for backup documentation.³⁹

24) CMI itself does not find this surprising,⁴⁰ and understood that "[t]his is their [SBA's] way of communicating their information on an airway bill. That's all I knew, even though I knew it was ocean freight and ... no one ever got around to changing the lingo, the wording, the label, whatever."⁴¹

25) CMI viewed the "air waybills" as "invoicing" documentation as opposed to functional bills of lading to be used in the transportation process. CMI "never thought that [SBA was] trying to deceive [it] by ... transporting cargo by air when it was really going by ocean," and "never thought that ... SBA charged [it] for air transportation rates ... even though ocean freight, which is much less expensive, had been provided."⁴²

26) CMI did not review the bill of lading numbers stated on the CBP Forms 7501 to determine whether the numbers stated on the "air waybill" forms appear on any one of them.⁴³ No CBP Form 7501 CMI produced states any of the "air waybill" numbers of the SBA "air waybill" forms CMI relies on.

27) The CBP Forms 3461 SBA Consolidators filed for each entry specify the SCAC codes of ocean carriers which issued house or master bills of lading.⁴⁴ The CBP Forms 3461 specify the Chinese NVOCCs' house bill of lading numbers in Box 21 after the letter "H." Had SBA issued a house bill for any of the subject transports, its SCAC code "SVBA" would appear before the bill of lading number appearing after letter "H" on the shipment's corresponding CBP

³⁹ Zasada Declaration.

⁴⁰ Vega Deposition at 172-73.

⁴¹ *Id.* at 175.

⁴² *Id.*

⁴³ Vega Deposition at 188.

⁴⁴ Copies attached as Exhibit 2 to the Zasada Declaration.

Form 3461. None do, and none of the designated house bill numbers conform to numbers stated on the “air waybills” CMI submits.

28) The two sets of CBP forms demonstrate that SBA issued no functional bill of lading documentation – air waybill or otherwise – that documented transportation of any of CMI’s cargo. CMI could demonstrate NVOCC activity by bills of lading issued to its Chinese suppliers, i.e., the shippers of the cargo for which demurrage charges accrued. CMI never asked its Chinese suppliers for copies of bills of lading documenting the subject shipments.⁴⁵

29) The “air waybill” forms CMI presents facially are not functional as ocean bills of lading for the following reasons:

- 1) They were never tendered to any shipper,⁴⁶ and the record does not suggest otherwise.
- 2) They are not signed by a shipper, the preprinted phrase “SERVICE BY AIR, INC.” appearing in the shipper’s signature blocks.
- 3) All but a few of the “air waybill” forms are marked at the bottom “COPY 8 (FOR AGENT),” which designates it to be a copy that SBA would retain for its own records had the document been used in transportation. Had the “air waybill” forms been used in transportation, CMI’s copy would have been marked “ORIGINAL 2 (FOR CONSIGNEE).”⁴⁷

30) SBA was not a shipper of record in its relationship with any ocean carrier. None of the bills of lading issued by LAS Freight or the other Chinese NVOCCs names SBA as a shipper of record. CMI made no effort to obtain copies of bills of lading from its Chinese suppliers.⁴⁸ It would be an easy matter to demonstrate SBA’s purported shipper relationship with carriers through such documentation.

31) SBA did not send CMI a “tariff,” or represent to CMI that it is has a “tariff,” NRA or any other such documentation which only NVOCCs would have.⁴⁹

⁴⁵ Vega Deposition at 111 and 117.

⁴⁶ Zasada Declaration.

⁴⁷ *Id.*

⁴⁸ Vega Deposition at 111 and 117.

⁴⁹ Jalowiecki Declaration.

32) SBA did not inform SBA that it could provide the same type of service that UTI, an NVOCC, previously had been providing to CMI ...”⁵⁰

33) SBA never asserted a lien of any kind; the record does not suggest it did; and SBA would not have been in any position to do so, as it was never in possession of the subject cargo.⁵¹

34) SBA did not conceal the identity of any actual carrier. CMI concedes it received from SBA,⁵² and produced in discovery,⁵³ copies of bills of lading issued by the Chinese NVOCCs. Thus, it obviously knew their identities, including the primary NVOCC, LAS Freight.

35) No evidence suggests that SBA “held itself out” as an NVOCC to the public at large as an NVOCC or other carrier.

36) During the shipment transactions at issue, CMI was “experiencing cash flow problems,” which prevented it from paying its suppliers.⁵⁴

37) Consequently, CMI did not always pay its Chinese suppliers in compliance with time frames the suppliers required.⁵⁵

38) This resulted in containers arriving in the U.S. which transportation service providers (such as Freight Tech) could not release to CMI because telex releases had not been issued. CMI was aware that “SBA could not properly release containers if the supplier had not been paid and issued a Telex release.”⁵⁶

39) CMI was not confused by the term “demurrage.”⁵⁷

40) At various times between April 2014 and July 2015,⁵⁸ SBA notified CMI that its cargo had arrived, and was ready for onward delivery from Freight Tech’s yard pending SBA’s

⁵⁰ *Id.* and Transcript of Deposition of Bryan Tincher at 66-67.

⁵¹ Zasada Declaration.

⁵² Vega Deposition at 106-07.

⁵³ Copies attached to the Block Declaration.

⁵⁴ Vega Deposition at 119-20; 127; 133-34.

⁵⁵ *Id.* at 86-87.

⁵⁶ *Id.* at 126-27.

⁵⁷ Vega Deposition at 92-93.

receipt of telex releases from the Chinese NVOCCs. SBA informed CMI numerous times that the “free days” Freight Tech allotted for storage had expired for specified containers, and that extensive demurrage charges were accruing.⁵⁹

41) When CMI had resolved its cash-flow issues, it agreed it owed, and fully paid, SBA the invoiced demurrage without complaint or objection.⁶⁰

42) When CMI’s inability to pay its Chinese suppliers began to generate a chronic demurrage issue, Vega advised SBA that she needed to budget future demurrage charges. In or about early 2015, Vega asked SBA’s regional manager, Ed Zasada, to calculate a fixed per diem demurrage rate per container that SBA would charge without deviation. This would enable her to budget payments for future shipments accurately when CMI’s cash flow issues prevented retrieval of arrived containers. Over Zasada’s advice against it, Vega insisted in January or February 2015 that SBA provide CMI a fixed rate that SBA would “stick to,” and “to make sure you cover yourself.” After computing average demurrage costs based on historical data, SBA proposed, and CMI accepted, a demurrage rate of \$300/container/day.⁶¹

43) CMI threatened SBA that it would file bankruptcy if SBA did not secure the release of its cargo without full payment of outstanding demurrage charges, and this prompted SBA to retain the final six CMI containers pending payment of the outstanding demurrage.⁶²

44) CMI ultimately paid the remaining demurrage balance without protest and retrieved its final six containers.⁶³

45) The demurrage SBA collected from CMI exceeded payments SBA made to Freight Tech by approximately 20%. This margin is appropriate under industry standards to

⁵⁸ Table attached as Exhibit 1 to the Verified Complaint.

⁵⁹ Zasada Declaration.

⁶⁰ *Id.*

⁶¹ *Id.* and Vega Deposition at 146 and 153.

⁶² Vega Deposition at 140-42.

⁶³ Zasada Declaration.

account for SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.⁶⁴

46) CMI has abandoned its claims against respondent SBA Consolidators, Inc. by not addressing it in CMI's briefing.

Respectfully submitted,



Steven W. Block
FOSTER PEPPER PLLC
1111 Third Avenue, Suite 3000
Seattle, WA 98101-3292
Telephone: (206) 447-4400
Facsimile: (206) 447-9700
E-Mail: steve.block@foster.com
Attorney for Respondents

May 2, 2017

⁶⁴ *Id.*

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

David Street
Brendan Collins
GKG Law, P.C.
The Foundry Building
1055 Thomas Jefferson Street NW
Suite 500
Washington, DC 20007
Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 2nd day of May, 2018.



Michelle Stark